

Fiscal Beliefs and the Transmission of Fiscal Policy under Imperfect Knowledge

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Abstract

Conventional monetary-fiscal models insulate inflation from fiscal disturbances when monetary policy targets inflation and fiscal policy stabilizes government debt. This paper asks whether fiscal neutrality survives when households must learn how fiscal policy stabilizes debt. I distinguish rational expectations beliefs from Ricardian beliefs: households need not form rational expectations or know the fiscal policy rule for fiscal disturbances to remain neutral, provided their subjective beliefs imply that government liabilities are fully backed by future fiscal adjustment. Rational expectations are sufficient but not necessary for fiscal neutrality, and there is a continuum of subjective beliefs satisfying this condition. Learning about long-run outcomes preserves this neutrality when households understand how fiscal positions propagate into future adjustment. When households must also learn this propagation mechanism, however, forecast errors can move beliefs outside the Ricardian set even though the underlying policy regime is unchanged. Government liabilities can become perceived net wealth, making the transmission of fiscal disturbances depend on beliefs inherited from previous macroeconomic outcomes. I embed this mechanism in a New Keynesian model with adaptive learning and estimate it using U.S. macroeconomic data and survey expectations. Estimated beliefs exhibit substantial variation in perceived fiscal backing over the pre zero lower bound (ZLB) sample, and the same fiscal disturbance generates different inflation and output responses across historical belief states. A counterfactual that eliminates the perceived fiscal wealth channel lowers long-run inflation expectations by roughly 0.2–0.3 percentage point for much of the sample. Macroeconomic history can alter fiscal transmission by changing what households have learned about the future fiscal adjustment backing government liabilities.

Keywords: Fiscal policy; Ricardian equivalence; adaptive learning; inflation expectations

JEL Codes: D83, E31, E52, E62

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